INTERNAL — DRAFT — NEGOTIATING TERMS — CEO eyes only

EXOS AEROSPACE — SSLC OPTION B ACQUISITION OFFER

Board Decision Summary · October 7, 2026

EXECUTIVE SUMMARY

Jon Quinn (CEO) has directed Exos to proceed with Option B: invoke §3 exclusivity of the May 2025 Asset Acquisition Agreement at the 2025 board-approved price, with an earn-out tied to Intuitive Machines (IM) tank deliveries and/or listed Exos stock post-RTO. Scorpius Space Launch Company (SSLC) debts are paid at face value at close, providing Jim Wertz's personal path to yes. This is separate from the ROFR the board declined; it proceeds on the signed, board-approved §3 exclusivity trigger.

DEAL TERMS (Option B)

Component	Amount	Notes
Base acquisition price	$3,360,000	§3 / §1 price; cash + stake credit
Cash at close	$2,510,000	Exos cash; from Series A first close
SSLC costs	$60,000	Seller's costs (§3)
Exos stake credit (18%)	($790,000)	Non-cash; existing 18% equity at 2021 basis
5% escrow holdback (§7, 12 mo.)	$168,000	Released at 12-month anniversary
SSLC debts assumed at face	~$500K (TBV)	Microcosm/Wertz notes + AP — to verify in SSLC QB
Earn-out i: IM tank revenue	5% of rev, $300K cap/yr, 3 yrs	Low/Base/High: $450K / $750K / $900K
Earn-out ii: Exos stock post-RTO	0.5% of FD shares, 12-mo lockup	Low/Base/High: $600K / $1.25M / $2.1M
TOTAL CONSIDERATION (Base, combined)	$5,860,000	Low: $4.91M | Base: $5.86M | High: $6.86M

TBV = to be verified in SSLC QuickBooks (QB session expired 10/7; must verify before signing).

1-YEAR AND 5-YEAR HEADLINE NUMBERS — TWO CASES

Actuals-Anchored (AA): uses Q1 FY27 actuals and actuals-derived projections (FY27 SSLC fixed at $5.5M; quarterly-basis correction from prior $6.925M formula). Old-Model Case (v12 drivers): uses v12 Scorpius unit/ASP/COGS ramp (ASP $183K→$536K, units 1.5→9/mo, COGS 35%→30%) + v12 Exos standalone (BLK4/propulsion ramp). ⚠ v15 'Scorpius acquisition benchmark' ($0.9M→$21M) understates v12 Scorpius line ($4.1M→$54.7M) by 13× at Y5.

Metric	AA — FY27	AA — FY31	v12 Old-Model — FY27	v12 Old-Model — FY31	Notes
SSLC Revenue	$5,500,000	$16,500,000	$4,120,000	$54,690,000	AA: actuals-anchored + IM firm; v12: unit/ASP ramp
Exos Standalone Revenue	$2,600,000	$16,000,000	$4,760,000	$124,500,000	AA: v15 commission-only; v12: BLK4/propulsion/wet-lease ramp
Net Consolidated Revenue	$7,600,000	$31,600,000	$8,880,000	$179,190,000	After interco elimination. v12 = v12 total direct.
SSLC EBITDA	+$1,240,000	+$6,000,000	$1,910,000	$35,420,000	v12 SSLC EBITDA derived: tanks at 65%/70% GM
Exos Standalone EBITDA	−$4,000,000	+$5,000,000	−$790,000	+$66,190,000	v12 Exos derived = v12 total EBITDA − v12 SSLC EBITDA

Consolidated EBITDA	−$2,760,000	+$11,000,000	$1,120,000	$101,610,000	v12 EBITDA from v12 Annual P&L directly
v15 Benchmark (SSLC only)	$900,000	$21,000,000	$900,000	$21,000,000	⚠ Legacy pre-IM-confirmation model. Both cases exceed by ≥6×.
Cash need at close	$3,010,000	—	same	—	Acquisition $2.51M + WC bridge $0.5M
Series A first close	$10,000,000	—	same	—	Covers acquisition, WC bridge, Exos ops
Net remaining for Exos ops	$6,990,000	—	same	—	After SSLC cash deployment

AA consolidated EBITDA FY27 negative: Exos −$4M investment phase offsets SSLC +$1.24M. v12 FY27 EBITDA positive ($1.12M) because v12 assumes smaller Exos standalone loss. v12 Exos Y1 EBITDA derived = $1.12M total − ~$1.91M SSLC = −$0.79M. See Reconciliation sheet in xlsx for full line-by-line explanation.

EARN-OUT OPTIONS (Two Variants; Combined Recommended)

	Earn-Out i: IM Tank Revenue	Earn-Out ii: Exos Stock	Combined
Structure	% of SSLC IM hardware revenue	Exos common stock at listing	Both i + ii
Mechanics	5% annual, $300K cap, 3-year term	0.5% of FD shares; 12-mo lockup	Each on own schedule
Low	$450,000	$600,000	$1,050,000
Base	$750,000	$1,250,000	$2,000,000
High	$900,000	$2,100,000	$3,000,000
Dilution	None	~0.5% of FD shares	~0.5% — non-material
Rationale	Rewards SSLC sellers for IM growth they enabled	Aligns SSLC sellers with Exos upside post-RTO	Best protection for all parties

RISKS AND MITIGATIONS

§3 Trigger Gap

- **Risk:** FNEX/Ainigma is an advisor/broker-dealer, not itself an 'investor or lender'. SSLC counsel (Danny) may challenge the trigger.
- **Mitigation:** Attach countersigned FNEX agreement + investor/sponsor use-of-proceeds letter naming the SSLC asset purchase. [Confirm D-7281974 is countersigned.]

He-Tank Dispute (MC #3056)

- **Risk:** Rev3 GHe tank fails at 4,400 psi proof; Morey questions it as a flight article. Exos faces ~$175K to take to flight.
- **Mitigation:** Plan B: qualified COPV ≤$250K (Jon cap), $0.3M gap. Resolves cleanly post-acquisition as intercompany — the legal dispute disappears. Decision D-7281994.

SSLC Cash Risk

- **Risk:** SSLC cash at QB date: $198K. Needs $0.3–0.7M to finish $984K in prepaid work. Risk of distress before close.
- **Mitigation:** Option C (held): prepaid BLK3 tank PO $300–700K as bridge. OR close quickly before cash depletes.

Related-Party / Governance

- **Jon Quinn:** on both boards. Jon recuses from SSLC board vote; sends as Exos CEO only. Eqvista fairness opinion: engaged 8/14/2026; agreement still unsigned (held ~1 month).
- **Disinterested directors:** Markus Rufer and Bob approve on SSLC side; Jon abstains.

Timing

- **Exclusivity window:** 90 days from ~Oct 8 = ~Jan 6, 2027. RTO close ~Mar 2027. Request extension proactively under the 'not unreasonably withhold' clause.
- **Jon in Japan:** Oct 8 – Oct 29. Named Exos officer signs while away. Reply-by date to Jim/board to be confirmed.

ASKS — Board Decision Points

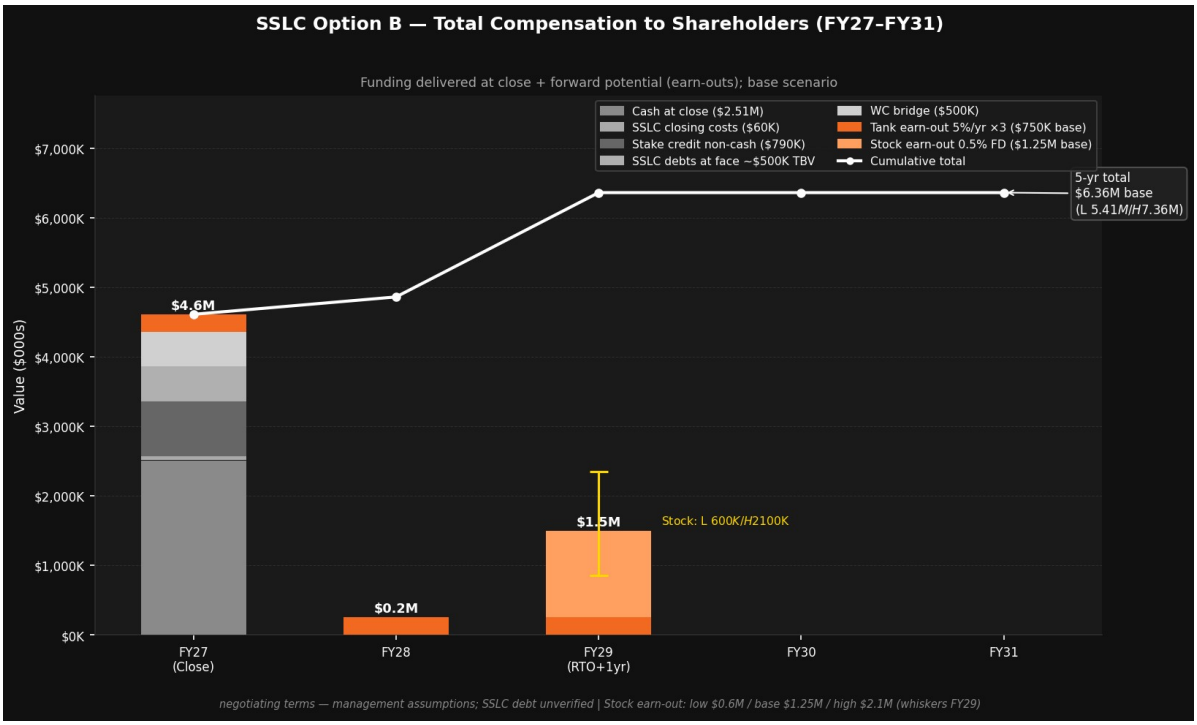
#	Ask	Owner	Timing
1	DECIDED 10/7: Option B (A+B), Counsel deferred while negotiating	Jon (CEO)	Done
2	Confirm earn-out variant: tank-only, stock-only, or combined?	Jon (CEO)	Today 10/7
3	Confirm FNEX agreement is countersigned (D-7281974)?	Jon	Before send
4	Obtain investor use-of-proceeds letter naming SSLC	Jon + FNEX	Before send

	purchase?		
5	Name Exos officer to sign while Jon is in Japan?	Jon (CEO)	Today 10/7
6	Set reply-by date to Jim Wertz?	Jon (CEO)	Today 10/7
7	Verify SSLC liabilities in QB before signing?	Exo / Jon	Before sign

Model file: drafts/EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx — all formulas, recalculates on input changes.
Draft message to Wertz/board: see SSLC_Exclusivity_Rescue_Options_and_Draft_Message_2026-10-07_DRAFT_v2.docx.
Decision card for Jon's approval is on Mission Control under task #3544.

TOTAL COMPENSATION — 5-YEAR VIEW (FY27–FY31)

Stacked bar: funding delivered at close + forward potential (earn-outs). Base scenario shown; stock earn-out whiskers show low/high range. negotiating terms — management assumptions; SSLC debt unverified.



5-Year Total Compensation Summary

Scenario	Funding Delivered (at close, FY27)	Forward Potential (earn-outs, 3-yr)	5-Yr Total	Notes
Base	$4,360,000	$2,000,000	$6,360,000	Tank $750K + Stock $1.25M
Low	$4,360,000	$1,050,000	$5,410,000	Tank $450K + Stock $600K
High	$4,360,000	$3,000,000	$7,360,000	Tank $900K (capped) + Stock $2.1M
Model 'Total Consideration' (base; excl. WC bridge)	$3,860,000	$2,000,000	$5,860,000	Deal Structure sheet; WC bridge excluded from consideration

'Funding delivered' includes: cash at close $2.51M + SSLC costs $60K + Exos stake credit (non-cash) $790K + SSLC debts paid at face ~$500K (TBV) + WC bridge $500K. Model 'Total Consideration' row follows the Deal Structure sheet definition (excl. WC bridge).

Chart file: drafts/SSLC_OptionB_Total_Compensation_5yr_2026-10-07.png

Total Compensation sheet in the model xlsx has formulas linked to Assumptions.